alche P&L Investor Brief

For Daria | Read on a plane, arrive ready to walk any investor through the numbers.

The Business in Numbers

Revenue Model: 6 Streams

STREAM	% OF REVENUE (M24)	WHY IT MATTERS
Retail Products	~81%	Curated longevity supplements. EUR 49/unit, 52% margin. The revenue engine.
Smoothie Bar	~7%	EUR 9.67 avg, 65% margin. Drives foot traffic.
LED Therapy	~5%	EUR 45/session, 44% margin. Space utilization play.
Subscriptions	~5%	EUR 19/49/99 tiers. The retention + data engine, not the revenue engine.
Events	~2%	Community building. EUR 35/ticket.
Doctor SaaS	~1%	EUR 99/mo per clinic, max 20 clinics. Legally safe (StGB 299a).

> **The honest story:** This is a product commerce business with a subscription wrapper for retention and data. Retail drives revenue; subscriptions drive stickiness.

Key Milestones

PHASE	WHAT HAPPENS
M1-M3	Pre-launch. GmbH formed, legal/regulatory setup, app development. No subscribers, no revenue. Burning ~EUR 18-20K/mo.
M4	Physical space opens. All 6 revenue streams activate. Subscribers start at 15/mo.
M11-M13	EBITDA break-even zone. Revenue overtakes costs.
M17-M18	CTO recruited (EUR 18K fee) and onboarded.
M24	~EUR 277K/mo revenue. ~339 subscribers. Cumulative cash ~EUR 585-600K (P&L basis).

Numbers to Memorize

M24 monthly revenue	~EUR 277K
M24 cumulative cash (P&L)	~EUR 585-600K
M24 total subscribers	~339
True subscription ARPU	EUR 38.44 (not EUR 49 -- tier mix)
Blended gross margin	45-55%
Monthly churn	8% (locked, industry benchmark)
Total CapEx	~EUR 98K (up from EUR 83K, includes app design)
Lowest cash point	~EUR 237-260K around M12
24-mo total revenue	~EUR 2.8-3.0M

What Investors Will Ask (and Your Answers)

"Where's the break-even?"

> EBITDA break-even around M11-13. Cumulative cash break-even (where cash exceeds EUR 500K starting point) around M23-24. The business is profitable operationally well before M24.

"Is EUR 500K enough?"

> Yes. Minimum cash never goes below ~EUR 237-260K (around M12, the deepest trough before revenue ramp catches up). Even in the bear case (0.6x revenue), cash stays positive. That said, the Cash Flow sheet shows ~EUR 218K less actual cash than the P&L suggests due to working capital tied up in inventory. Actual M24 cash is closer to EUR 377K.

"Why so much retail vs subscriptions?"

> Physical space drives foot traffic. Walk-in customers buy products. Subscriptions are the retention engine (keep people coming back, collect data, personalize recommendations). Retail is the revenue engine. Think Aesop with a membership layer, not Netflix with a store.

"What about the doctor thing?"

> Commission-based referral fees are illegal in Germany (StGB 299a/299b). We switched to a SaaS model at EUR 99/mo per clinic, following Doctolib precedent (EUR 139-475/mo). Smaller revenue but legally bulletproof.

"Why no CGM?"

> ZOE dropped CGM hardware in Sept 2025. Supersapiens shut down Feb 2024. Hardware-as-a-service is dead industry-wide. We do software-only BYOD (bring your own device) via Dexcom API and Apple Health. 80-90% margins on software interpretation vs thin/negative margins on hardware logistics. The greyed-out EUR 0 row in the model shows this was deliberate.

"What's your biggest risk?"

> Retail volume at M24: 4,600 units/month with only 339 subscribers. That means ~92% of product sales come from non-subscribers (walk-in, e-commerce, B2B). Mitigant: curated Berlin wellness space with high foot traffic + planned e-commerce expansion + potential B2B wholesale channel.

"How is this model different from typical pre-seed decks?"

> - **123 assumptions**, every one sourced to research documents or expert audits
> - **7 expert persona audits** (angel investor, tax advisor, operations manager, food safety inspector, growth CFO, compliance lawyer, HR manager) -- all findings incorporated
> - **German-specific costs modeled**: Gewerbesteuer, Nebenkosten, GEMA, HACCP, DSB (data protection officer), Rundfunkbeitrag, KSK levy, Verpackungsgesetz. Most pre-seed models skip all of these.
> - **Cash Flow sheet** showing the EUR 218K working capital gap that P&L hides
> - **Tax provision** follows actual German GmbH rules (~30% combined rate, only when cumulative profits turn positive)
> - **Illegal revenue models caught and fixed** (doctor commission → SaaS)

If They Push on Valuation Multiples

Subscription businesses: 8-15x ARR. Product commerce: 2-4x revenue. We're economically a product commerce business (only ~5% subscription revenue). But the subscription layer is the data moat and retention mechanism that makes the product commerce defensible. Frame it as: "product commerce margins with subscription economics on retention."

Source: Condensed from the full 912-line PNL_EXPLANATION_GUIDE.md. All numbers trace to `alche-pnl-24mo-v3.xlsx` *generated by* `build_excel_pnl_v3.py` *.*